

Multiple Choice (10 marks)

1. Which of the following statements accurately describes the relationship between average product (AP) and marginal product (MP) of labor?
 - (a) MP intersects AP at the minimum of MP.
 - (b) AP rises when MP is above it and falls when MP is below it.
 - (c) MP is always higher than AP regardless of the level of labor.
 - (d) AP and MP are inversely related to each other.
 - (e) AP falls when MP is above it and rises when MP is below it.
2. An increase in the price level and a decrease in real GDP in the short run could be the result of
 - (a) a decrease in the money supply.
 - (b) an increase in consumer confidence.
 - (c) a sudden surge in technological innovation.
 - (d) a prolonged period of very bad weather.
 - (e) a decrease in consumer confidence.
3. What is the consequence of permanent inflation for the interest rates?
 - (a) Interest rates decrease to stimulate economic growth
 - (b) Interest rates become discounted by the anticipated rate of inflation
 - (c) Inflation has no relation to interest rates
 - (d) Interest rates fluctuate randomly regardless of inflation
 - (e) Central banks have less control over interest rates
4. Crowding out
 - (a) occurs when interest rates fall due to government borrowing.
 - (b) occurs when consumers and firms spend less offsetting expansionary fiscal policy.
 - (c) occurs when the government reduces its spending in response to inflation.
 - (d) is a consequence of contractionary fiscal policy.
 - (e) is one reason fiscal policy is so effective.
5. Suppose that the interest rate has risen from 8% to 10% over a three year period while inflation has risen from 3% to 5%. What has happened to the real interest rate?

- (a) Real interest rate decreases by 2%
- (b) Real interest rate more than doubles
- (c) Real interest rate decreases
- (d) Real interest rate increases
- (e) Real interest rate is halved

True / False (10 marks)

Answer True or False

- 6. True or False: A bank can theoretically expand the money supply infinitely if no required reserve ratio exists for additional deposits.
- 7. True or False: Diminishing marginal returns to short-run production begin when the total product of labor becomes negative.
- 8. True or False: An increase in the Consumer Price Index (CPI) from 120 to 150 indicates that prices have risen by 25 percent.
- 9. True or False: An increase in consumer confidence typically causes the aggregate demand curve to shift to the left, reflecting decreased spending.
- 10. True or False: The demand for beef is price inelastic, resulting in increased consumer spending despite higher prices.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the reasons why industries producing capital goods and consumer durables experience the most significant declines in production and employment during a recession.
- 12. Discuss the impact of differing inflation rates between the European Union and the United States on the exchange rate of the euro and the U.S. dollar, specifically addressing scenarios of high inflation in the EU.

End of Paper